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DTB | DIAMOND TRUST BANK

DTB Bank Kenya Q1'25 Earnings Note

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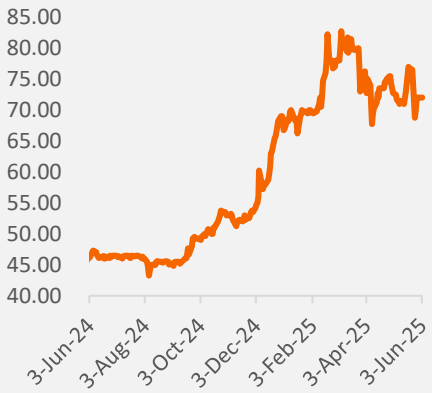
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Diamond Trust Bank Q1'25 Earnings Note

June 9th, 2025

Ticker Information	
NSE Code:	DTK
Issued Shares (Bn):	3.77
52-week high:	KES 83.25
52-week low:	KES 43.05

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	-0.7%	-7.7%	31.5%	56.0%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	KES 72.00	KES 82.52

Summary

- **Diamond Trust Bank (DTB) delivered a resilient financial performance in Q1'25, with net earnings rising 9.9% y/y to KES 3.23Bn, albeit slightly below our expectations.** The earnings growth was primarily driven by an 8.0% y/y increase in net interest income, supported by higher interest income from loans and advances. Conversely, non-funded income declined by 18.5% y/y, mainly due to a drop in foreign exchange trading income. The net interest margin expanded slightly by 10 bps y/y to 5.5%. Meanwhile, the trailing return on equity improved by 30 bps y/y to 11.5%, and the trailing return on assets edged up by 10 bps y/y to 1.6%.

Key Highlights

- **Mixed Core Banking Performance:** Net interest income grew by 8.0% y/y to KES 7.66Bn, supported by increased credit expansion, which drove a 4.1% y/y rise in interest income from loans and advances. This growth was further bolstered by a reduction in interest expenses on deposits and placements, largely attributable to a 44.1% y/y decline in deposits from foreign banking institutions. On the flip side, non-funded income fell 18.5% y/y to KES 3.02Bn, primarily due to a sharp 55.6% y/y contraction in foreign exchange trading income, with this decline reflecting broader industry trends, as a stable exchange rate compresses trading spreads. The average yield on interest-earning assets rose by 60 bps y/y to 12.0%, but this was mostly offset by a 50 bps y/y increase in the cost of funds to 6.5%, resulting in a marginal 10 bps y/y expansion in the net interest margin to 5.5%.
- **Improving Asset Quality:** Gross Non-Performing Loans (NPLs) declined by 7.7% y/y to KES 39.68Bn, reflecting the bank's continued commitment to prudent lending strategies. This improvement drove a notable 170 bps y/y reduction in the gross NPL ratio to 13.2%, indicating a moderation in credit risk. At the same time, the NPL coverage ratio eased by 4.1% y/y to 39.9%, a trend we attribute to lower default risk, supported by a more accommodative interest rate environment that has helped reduce borrowing costs. Consistent with this improving credit quality, management reduced credit impairment provisions by 42.6% y/y to KES 0.89Bn.

Balance Sheet Dynamics

Customer deposits grew by 9.0% y/y to KES 463.58Bn, a move we believe was supported by the bank's strategic expansion efforts, which helped broaden its customer base and drive deposit growth. A similar trend was observed in the loan book, which expanded by 5.7% y/y to KES 284.26Bn, reflecting increased credit demand. In a notable strategic shift, management reduced its exposure to government securities by 2.4% y/y to KES 178.69Bn—diverging from the broader industry trend. This move reflects a reallocation of resources toward higher-yielding customer assets amid an easing monetary policy environment, which has led to a decline in government securities yields. The declines in yields, however, saw the bank record KES 3.71 Bn in fair value gains, underscoring effective portfolio optimization strategies.

Pressurized Operating Efficiency

The lender continued to experience notable compression in operating efficiency, with the cost-to-income ratio (excluding loan loss provisions) expanding by 4.9% y/y to 53.7%, in a move we believe was driven by the lender's strategic investments and higher staff costs associated with its branch expansion initiatives.

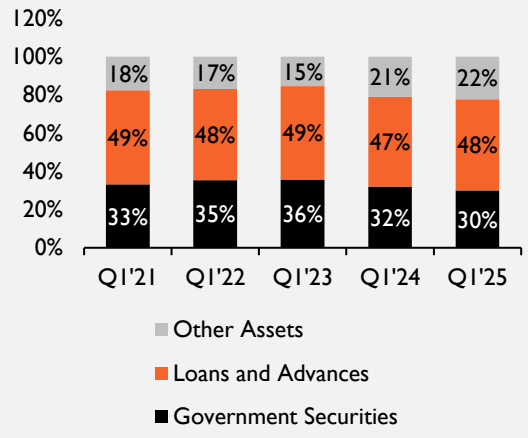
Outlook

We maintain our view that the lender's earnings momentum is likely to be sustained by continued growth in interest income, supported by improving asset quality that should enable further credit expansion. This is expected to be complemented by ongoing strategic expansion initiatives, with a growing customer base driving both deposit and loan book growth. However, we believe the upside for lending growth will remain limited for much of FY'25, as household and business balance sheets are yet to fully recover from the post-pandemic inflationary pressures. Moreover, with the current declining interest rate environment, yields on interest-earning assets are likely to come under pressure, potentially leading to a compression in net interest margins going forward.

Recommendation

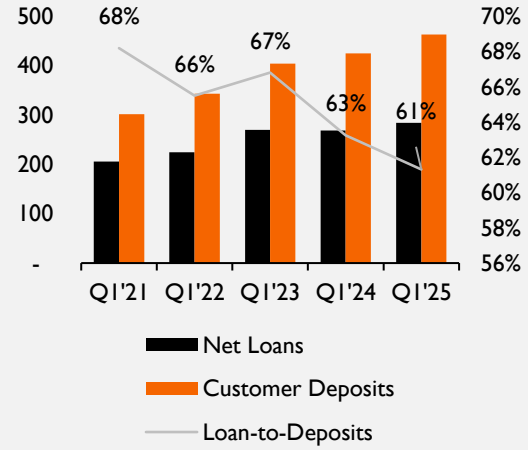
- **We maintain our HOLD recommendation on Diamond Trust Bank on account of lackluster growth on its return on equity.** At the current market price, the stock is trading at P/E ratio of 2.6x and a P/B ratio of 0.2x. Our one-year target price for Diamond Trust Bank currently stands at KES 82.52 - representing a c.14.6% upside potential from current levels.

Chart 2: Asset Composition



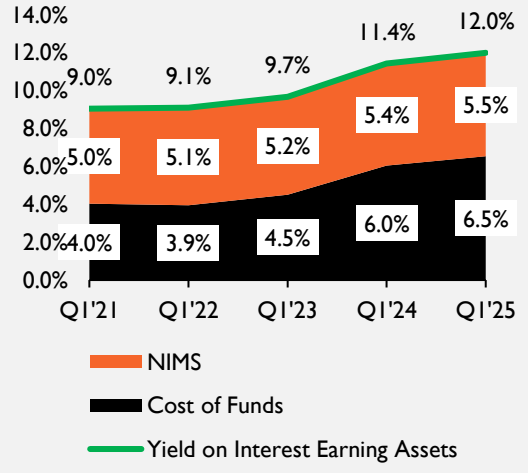
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Net Interest Income	4.96	5.54	6.68	7.09	7.66	▲ 8.0%
Net non-Interest Income	1.56	1.78	2.81	3.71	3.02	▼ (18.5%)
Total Operating income	6.52	7.32	9.49	10.80	10.68	▼ (1.1%)
Provision for Impairment	(0.68)	(0.58)	(1.37)	(1.55)	(0.89)	▼ (42.6%)
Total Operating expenses	(3.52)	(3.89)	(5.86)	(6.81)	(6.62)	▼ (2.9%)
Profit before tax	2.99	3.39	3.65	3.98	4.05	▲ 1.7%
Profit after tax	2.05	2.39	2.65	2.94	3.23	▲ 9.9%
Core EPS Annualized	27.86	31.17	34.59	37.54	40.85	▲ 8.8%

Balance Sheet (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Government Securities	138.35	167.06	197.33	183.07	178.69	▼ (2.4%)
Loans and Advances	205.81	224.80	270.37	268.95	284.26	▲ 5.7%
Total Assets	417.34	471.34	553.30	571.89	595.14	▲ 4.1%
Customer Deposits	301.76	343.14	404.63	425.21	463.58	▲ 9.0%
Total Liabilities	346.86	394.73	470.76	490.53	497.37	▲ 1.4%
Shareholder's Funds	63.98	69.10	72.94	71.88	86.92	▲ 20.9%

Ratio Analysis	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Spreads Analysis						
Yield on Assets	9.0%	9.1%	9.7%	11.4%	12.0%	▲ 0.6%
Cost of Funds	4.0%	3.9%	4.5%	6.0%	6.5%	▲ 0.5%
Net Interest Margin	5.0%	5.1%	5.2%	5.4%	5.5%	▲ 0.1%
ROaE	5.7%	7.1%	9.9%	11.2%	11.5%	▲ 0.3%
ROaA	0.9%	1.1%	1.4%	1.4%	1.6%	▲ 0.1%
Profit Margin	31.5%	32.6%	27.9%	27.2%	30.2%	▲ 3.0%
Operating Efficiency						
Cost to Income Less LLP	43.5%	45.3%	47.3%	48.8%	53.7%	▲ 4.9%
Cost to Assets Less LLP	0.7%	0.7%	0.8%	0.9%	1.0%	▲ 0.0%
Loan to Deposit	68.2%	65.5%	66.8%	63.3%	61.3%	▼ (1.9%)
Asset Quality						
Gross NPL Ratio	10.6%	12.7%	12.2%	15.0%	13.2%	▼ (1.7%)
NPL Coverage	46.5%	42.2%	46.3%	44.0%	39.9%	▼ (4.1%)
Cost of Risk	0.3%	0.3%	0.5%	0.6%	0.3%	▼ (0.3%)
Capital Adequacy						
Core Capital/TRWA	20.8%	20.5%	19.3%	17.4%	15.4%	▼ (2.0%)
Total Capital /TRWA	22.4%	21.8%	20.2%	18.2%	17.0%	▼ (1.2%)
Liquidity	58.7%	58.3%	56.2%	50.5%	54.6%	▲ 4.1%

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